

STRATEGIC PROPOSAL — PRIVATE & CONFIDENTIAL

Hallor Technologies Inc.

Corporate Launch, Capital-Markets Listing, and the Positioning of Hallor Defence and Hallor Industries Inc.

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Important Notice

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Financial figures relating to Hallor Group Inc. are drawn from pre-audit internal information and remain subject to the IFRS audit identified as a listing prerequisite; all such figures are indicative and may change materially on audit. The financing parameters in Section 7 are indicative and subject to counsel, exchange, and market conditions. Defence-market and procurement statements are directional and explicitly flagged where the underlying demand signal is unverified; no defence revenue is forecast in this document.

Competitor specifications and competition results are drawn from publicly available manufacturer and trade-press sources as cited and, where so noted, are company-reported rather than independently verified. Where a commercial relationship between third parties is described as undocumented, that characterization is a factual limitation, not a conclusion. All forward-looking statements are subject to execution, market, regulatory, controlled-goods, and financing risk, and there is no assurance the listing, the financing, or the defence development program will be completed.

This document is self-contained and should be read together with, not in substitution for, the audited financial statements and the definitive offering and listing materials when those become available. It does not constitute an offer or a recommendation, and no reliance should be placed on it for any investment decision.

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1. Executive Summary

This proposal sets out the launch of **Hallor Technologies Inc. (“HTI”)** as a listed Canadian technology parent, and the distinct market positioning of its two operating subsidiaries: **Hallor Industries Inc. (“HII”)**, which sells the Green Ox electric ground support equipment (GSE) tractor into the aviation and industrial market it is already pursuing, and **Hallor Defence Inc. (“HDI”)**, a proposed new entrant to the Canadian uncrewed-ground-vehicle (UGV) market. The structure repairs the existing balance sheet in place and lists the IP-owning parent by non-offering prospectus, under the structure set out in Section 2.¹

The central judgement of this proposal is deliberately conservative. The Hallor platform, in its current form, is a **crewed** electric airport tug — a capable, Canadian-built commercial vehicle. It is *not* today a UGV, and it is not in the same product class as the combat platforms it would notionally face.² Hallor Defence is therefore positioned in this document not as a competing combat-vehicle manufacturer but as a **Canadian-built, capital-markets-funded developer of an unarmed teleoperated logistics and casualty-evacuation UGV**, built on a militarily-relevant electric drivetrain and modular chassis. This is a development thesis, not a product claim — and stating it as such is itself a listing and diligence asset.

Key recommendations

- List HTI as the IP-owning parent; keep Green Ox commercial revenue and the defence development program in ring-fenced subsidiaries.
- Hallor Industries Inc.: continue and deepen the existing electric-GSE aviation and industrial market push — this is the only near-term revenue and the credibility anchor for the whole structure.
- Hallor Defence: enter the Canadian UGV market in the **unarmed logistics / medevac** segment only, explicitly excluding munitions and mine-laying, on a defined autonomy-conversion roadmap.
- Treat the capital structure — a listed vehicle able to fund conversion, certification, and consolidation — as the actual competitive instrument, because the hardware is not a moat.

¹Recommended end-state group architecture: Hallor Technologies Inc. (HTI), formerly HGI, as the listed parent and non-offering-prospectus applicant and IP/platform licensor; Hallor Industries Inc. (HII) and Hallor Defence Inc. (HDI) as wholly owned operating subsidiaries licensing the platform from HTI. Debt repaired in place via share settlement; IP never leaves the entity.

²Green Ox product specifications drawn from the Hallor / Green Ox Electric Tractor base-model GSE flyer and key-features sheet: 72V AC brushless motor; preset maximum speed 24 km/h; three-seat upholstered bench (operator-crewed); FWD/AWD; lead-acid flooded or LiFePO4 battery options; built-in 1,000W charger on standard 120V supply; full charge rated at approximately two 8-hour shifts; modular deck and attachment architecture (belt loader, water cart, lavatory cart, de-icer).

- Sequence the defence narrative *behind* the existing listing prerequisites, not parallel to them.³

What this document covers

The sections that follow develop this thesis end to end:

- **Context and corporate structure (Section 2):** Hallor Group Inc. is a revenue-generating but pre-listing company carrying an accumulated deficit, a going-concern note and near-zero cash; the recommended end-state is HTI as listed IP-owning parent over HII and HDI, with legacy debt repaired in place by share settlement so the IP never leaves the entity.
- **The platform (Section 3):** the Green Ox is a sound, Canadian-built crewed electric GSE tractor with a militarily-relevant drivetrain and modular chassis — not a UGV today; entering the UGV segment is a defined engineering conversion, and saying so plainly is a diligence asset.
- **Competitive landscape (Section 4):** the notional rivals resolve into distinct tiers — the VictorySoft Gulliver as a commoditized Ukrainian origin design, INKAS (a separate, independent Canadian firm) as the genuine domestic competitor, and Rheinmetall as a full-stack prime to avoid or partner with rather than fight. Hardware is not a defensible moat in this market.
- **Positioning (Section 5):** HDI enters not as a better robot but as the listed, compliance-anchored, capital-markets-funded developer of an unarmed logistics/medevac UGV, on four pillars — listed-vehicle funding, Canadian-sovereign compliance, autonomy partnership, and disciplined scope — with the principal execution risks named, not assumed away.
- **Commercial market (Section 6):** HII's Green Ox electric-GSE business is the group's only near-term revenue and credibility anchor; the plan funds a five-unit try-and-buy demonstration fleet to convert the existing aviation and industrial pipeline into sales.
- **The financing (Section 7):** an indicative C\$2.0M–C\$2.5M private placement of units (one share plus one-half warrant) at C\$0.15, warrants exercisable at C\$0.25, 10% cash plus 10% broker-warrant agent compensation; proceeds applied in priority to payables, financing and listing costs, an HII manufacturing loan, HTI-funded HDI R&D, and an SG&A and free-cash residual. A share-capital waterfall reconciled to the existing records carries the fully-diluted position to roughly 57.1M at the floor (about 62.4M at C\$2.5M); a simplified count

³Listing prerequisites identified in this proposal: IFRS audit scoped to the reorganization; matured convertible note status clarification (possible Penalty Event) and note funding-discrepancy reconciliation; reconciliation or withdrawal of the conflicting December 2025 investor deck; controlled-goods disclosure for any UGV/defence activity. These are sequenced ahead of, not parallel to, the defence narrative.

understates this materially and an audited pro-forma table is a listing prerequisite.

- **Compliance and execution (Section 8):** the defence market figure is unverified and no defence revenue is forecast; the Controlled Goods Program, export controls, ITAR/EAR and the Ottawa Treaty are treated as prerequisites with real lead times, and the defence-capability gap is acknowledged as a hiring/partnering milestone, not an existing strength.
- **Sequencing and roadmap (Section 9):** a Qualify → Build → Develop → Capitalize sequence in which the listing prerequisites — IFRS audit, independent IP valuation, convertible-note status, deck reconciliation, fully-loaded capitalization, and the controlled-goods framework — clear before the defence story is told publicly.
- **Conclusion (Section 10):** the winning move is structural, not technical — list the IP-owning parent, keep the commercial business generating revenue and credibility, and position HDI as the listed, compliant, narrowly-scoped Canadian entrant, contingent on the listing prerequisites being cleared first.

2. Context and Corporate Structure

2.1 The entity as it stands

Hallor Group Inc. (“HGI”) is a revenue-generating company undertaking a balance-sheet repair and recapitalization as the foundation of its growth strategy. Its current financial position is characteristic of a pre-listing company at this stage: low-margin FY2025 sales, an accumulated deficit of approximately C\$4.94M, annual net losses in the C\$1.6M–C\$1.9M range, an explicit going-concern note in the financial statements, and a near-zero cash position.⁴ Its principal asset is an intangible IP/platform, carried on the balance sheet at approximately C\$4.27M. That figure is an IFRS carrying value — amortized cost net of any impairment — and is therefore an accounting *floor*, not a market valuation; IFRS generally does not permit internally-developed intangibles to be written up to fair value, so the economic value of the platform may exceed its carried amount. This proposal does not assert a higher figure: an independent IP/technology valuation is identified as a value-

⁴Hallor Group Inc. (HGI) financial profile and capitalization underlying this proposal: FY2025 sales at low gross margin; accumulated deficit of approximately C\$4.94M; annual net losses in the C\$1.6M–C\$1.9M range; explicit going-concern note; near-zero cash. The principal intangible IP/platform asset is carried at approximately C\$4.27M; this is an IFRS carrying value (amortized cost net of impairment), which is an accounting floor and not a market or fair-value assessment — no independent valuation has yet been performed. A capitalization analysis underlying this proposal, reconciled to the existing Hallor capitalization records, is presented as the share-capital waterfall in Section 7.3. A simplified share count of approximately 48.9M understates the true position; once the convertible-note conversion, the not-yet-granted debenture warrants, and the financing's purchaser and broker warrants are carried, the illustrative fully-diluted total is roughly 57M at the C\$0.15 unit price and C\$2.0M floor. All figures are pre-IFRS-audit, indicative, and remain listing prerequisites.

establishing step in the financing sequence (Section 7) and is the appropriate basis for any fair-value position. The financing is designed to clear legacy payables, fund the listing, provide an operating runway, and make defined parent-level deployments into the operating subsidiaries (Section 7.2) — establishing a clean platform from which the commercial growth strategy in Section 6 and the structure in Section 2.2 can be executed. The guiding test for every recommendation below is that the plan must be fundable and credible to an audit and an exchange, not merely attractive.

2.2 The proposed end-state group

The recommended reorganization resolves the balance sheet in place and lists the IP owner, avoiding any reviewable transfer of assets out of a financially constrained entity:

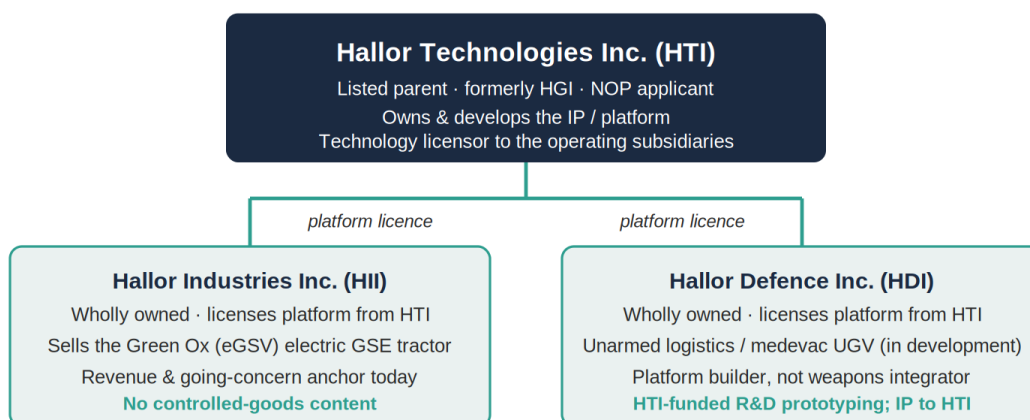
1. **Hallor Technologies Inc. (HTI)** — formerly HGI; the listed parent and non-offering-prospectus applicant. Owns and develops the IP/platform; positions as a technology-licensing company. Debt repaired in place by share settlement.
2. **Hallor Industries Inc. (HII)** — wholly owned; operates and sells the Green Ox electric-GSE business under licence from HTI.
3. **Hallor Defence Inc. (HDI)** — wholly owned; develops and, in time, sells an unarmed logistics/medevac UGV under licence from HTI. Positions as a platform builder, not a weapons integrator.

This architecture is the precondition for the market positioning that follows. It also keeps the defence activity ring-fenced for controlled-goods purposes⁵ and isolates commercial revenue from development-stage risk.

⁵Controlled goods and end-use framework: Canada's Controlled Goods Program (CGP), the Defence Production Act, and export-control obligations apply to defence-oriented UGV activity. The Ottawa Treaty (Anti-Personnel Mine Ban Convention) is directly relevant to any mine-delivery capability and is a principal reason the recommended Hallor Defence scope excludes munitions and mine-laying. Counsel engagement is required; this document is not legal advice.

Figure 1 — Recommended End-State Group Structure

IP owned by the listed parent; operating businesses licensed and ring-fenced



Debt repaid in place via share settlement — the IP never leaves the entity, avoiding a reviewable transfer.

Commercial revenue and development-stage defence risk are isolated in separate subsidiaries.

Source: Section 2.2, this proposal. Structure indicative and subject to counsel and exchange review.

3. The Platform: A Realistic Assessment

This section states what the platform is, precisely, because the entire investment thesis depends on it. The Hallor platform is a **crewed electric ground support equipment (GSE) vehicle**, not an uncrewed ground vehicle. That distinction is the single most important fact in this document: it defines what Hallor owns today, what must be built to enter the defence market, and why the proposal is framed as a development thesis rather than a product claim. Any presentation that implied a finished combat or uncrewed platform would not survive technical diligence; this document does not make that claim.

3.1 What the Green Ox actually is

The Green Ox is a crewed electric GSE tractor for aviation ramp operations — a baggage/cargo tug. It has a 72V AC brushless motor, a preset maximum speed of 24 km/h, a three-seat upholstered bench requiring an onboard driver, FWD/AWD, lead-acid or LiFePO4 battery options, a built-in 1,000W charger on a standard 120V supply, and roughly two 8-hour shifts of endurance per charge. Its marketed frame is explicitly civilian: carbon-credit eligibility, energy rebates, and ramp attachments such as belt loader, water cart, lavatory cart and de-icer.

The single most consequential fact for the defence question: the vehicle is architected around a seated human operator. The competitor platforms are uncrewed by design. Converting a crewed tug into a UGV is not a payload change — it is a drive-by-wire,

teleoperation, remote command-and-control, and ruggedization program on a chassis never designed to remove the driver.

3.2 Transferable strengths

The case rests on genuine, transferable assets, not on a combat claim:

- A sound, militarily-relevant electric drivetrain: 72V AC brushless, regenerative braking, programmable controller, LiFePO4 option, AWD with synchronized steering, and a low-power crawl mode — the exact subsystems an autonomy kit interfaces with.
- A low centre of gravity (the flyer claims lower than a military Humvee) and an exceptional roll-over angle — valuable for an unmanned platform with no human to correct attitude.
- A modular deck/attachment philosophy that mirrors the modular-payload concept used by tier-one UGV families.
- Canadian manufacture and service — the one dimension on which Hallor stands level with the strongest incumbent and ahead of the foreign-origin field for sovereign-capability procurement.

The realistic platform statement — which should replace the older framing wherever it appears — is: *Hallor owns a Canadian-built crewed electric GSE platform with a militarily-relevant drivetrain and modular architecture, requiring a defined autonomy/teleoperation development program to enter the unarmed UGV logistics segment.*

4. The Competitive Landscape

The notional competitor set resolves not into three peers but into distinct tiers of capability and market position. Placing Hallor accurately within that landscape is what makes the strategy defensible.

4.1 The capability comparison

The comparison below positions the platforms qualitatively. Cells marked “(co.)” are manufacturer- or organizer-reported and have not been independently verified for this document; they are included to represent how each platform is positioned, not as audited capability claims.

Dimension	Green Ox (today)	VictorySoft Gulliver	INKAS HEEMAR	Rheinmetall Mission Master
Origin	Canada (crewed GSE)	Ukraine (combat-developed)	Canada (Toronto); claims own development	Germany; Rheinmetall Canada (QC)
Control	Crewed; onboard	Teleoperated	Teleoperated	Autonomy

Dimension	Green Ox (today)	VictorySoft Gulliver	INKAS HEEMAR	Rheinmetall Mission Master
	driver	(co.)	(co.)	capable; ELROB-2024 (co.)
Terrain	Ramp / paved; light off-road	Combat off-road (co.)	Combat off-road (co.)	Extreme terrain; amphibious (co.)
Range	~2 work shifts	45 km / ~5 h (co.)	45 km (co.)	450–750 km (co.)
Combat record	None	Reported use, Ukraine (co.)	Reported use, Ukraine (co.)	NATO-fielded (co.)
Certification	Civilian GSE	Ukrainian MoD codification (co.)	Marketed NATO-aligned (co.)	NATO-compliant (co.)
Canadian footprint	Yes — built & serviced	None	Yes — Toronto HQ; Ukraine R&D office	Rheinmetall Canada, QC + Provectus, Ottawa

Sources: Green Ox base-model GSE flyer and key-features sheet; VictorySoft Gulliver⁶; INKAS HEEMAR⁷; Rheinmetall Mission Master product pages and DSEI 2025 press release.⁸ *VictorySoft and INKAS are separate, independent companies; no licensing or*

⁶VictorySoft “Gulliver” specifications per the manufacturer’s public site and Ukrainian Ministry of Defence codification reporting (Feb 2025): 285 kg base weight; 45 km / ~5 h endurance; 120 Ah/48V battery; ERLS 400–500 / 750–950 MHz control via STARLINK with fiber-optic fallback; ~20 km/h; “Miner” variant deploys 16 TM mines. VictorySoft is a Ukrainian developer; it presents a community/non-commercial development model and names no Western commercialization partner. VictorySoft and INKAS are separate, independent companies; no licensing, reseller, or co-development relationship between them is documented in any public source.

⁷INKAS Aerospace & Defense HEEMAR UGV per the company flyer and defence trade coverage of Milipol Paris 2025: 285 kg platform; 45 km range; 350 kg payload; 16 km/h; 120 Ah/48V; ERLS 400–500 / 750–950 MHz via STARLINK; Universal Transport Platform and Mine Delivery System modules. Although the published specifications closely match the Gulliver, INKAS and VictorySoft are separate, independent companies: INKAS publicly presents HEEMAR as its own development and advertises a Ukrainian combat record, and no contractual or commercial link between the two is publicly documented. INKAS is a Toronto-headquartered Canadian firm (reported ~350 staff) that opened an in-country office in Ukraine (INKAS UA) in 2023 and is publicly engaging the Canadian government on NATO-diversification procurement. INKAS’s specific Controlled Goods Program / export-control registration status was not independently verified for this document and would need to be confirmed from the Government of Canada registries; the “~350-person” and procurement-engagement points are single-source trade-press and reporting citations and should be treated as directional.

⁸Rheinmetall Mission Master A-UGV family per Rheinmetall product pages and the DSEI 2025 press release: Mission Master SP / SP2 (low-signature electric, amphibious SP2), CXT and XT (hybrid, 1,000 kg payload, 450–750 km range, air-transportable), modular payloads, integrated weapon stations (e.g., CXT with Skyranger 762). Path A-kit autonomy won the ELROB 2024 Automated

commercial relationship between them is publicly documented. “(co.)” denotes a company- or organizer-reported claim not independently verified here.

Figure 3 — Capability Positioning (Neutral)

Four separate entities — not a ranking, and not a market-leadership claim



VictorySoft and INKAS are separate, independent companies; no relationship between them is publicly documented.
“(co.)” = company- or organizer-reported claim, not independently verified in this document.

Source: §4, this proposal. Positioning aid, not a ranking; competitor cells are vendor- or organizer-reported as noted.

4.2 Assessing the competitors

VictorySoft Gulliver — the Ukrainian commodity origin layer

The VictorySoft Gulliver is a Ukrainian combat-developed teleoperated UGV, codified by Ukraine's Ministry of Defence. Its strategic significance is that it represents a **commoditized, combat-proven, low-cost reference design** — by Ukrainian government accounts reported in trade press, several hundred Ukrainian producers operate in ground robotics. It is not a defensible technology moat and not a Canadian-market competitor in itself; it is the origin layer from which Western-market UGVs in this class are derived.

INKAS HEEMAR — the genuine Canadian competitor

INKAS Aerospace & Defense is a Toronto-headquartered Canadian defence company. Its HEEMAR UGV shares the same published specification profile as the Gulliver, but **INKAS and VictorySoft are separate, independent companies**: INKAS publicly presents the HEEMAR as its own development and advertises a Ukrainian combat record, and no licence, reseller, or co-development relationship between the two is documented in any public source. INKAS is the substantive competitive reference point for Hallor Defence — not VictorySoft. It is a reported ~350-person firm that unveiled HEEMAR at Milipol Paris 2025, operates an in-country R&D office in Ukraine (opened

Convoy category. Robotics operations are based at Rheinmetall Canada (Saint-Jean-sur-Richelieu, Quebec) and Provectus Robotics Solutions (Ottawa).

2023), and is publicly engaging the Canadian government on NATO-diversification procurement (including a Canada–France NATO-compliant armoured-vehicle program). It is therefore an established Canadian incumbent in precisely the “Western-certified, Canadian-built UGV” position a new entrant would target. As an incorporated Canadian defence firm transacting with allied governments, INKAS is the kind of entity for which Controlled Goods Program registration and export-control compliance would ordinarily be expected; this proposal does not assert INKAS’s specific registration status, which was not independently verified and would need to be confirmed from the federal registries.

Rheinmetall — the full-stack prime

Rheinmetall is a full-stack UGV prime: a four-vehicle Mission Master family, autonomy via the Path A-kit (organizer-reported ELROB-2024 Automated Convoy result), integrated weapon stations, NATO battle-management interoperability, and a revenue-generating commercial dual-use business. Its Canadian footprint is two distinct operations: the Mission Master vehicle line at Rheinmetall Canada in Saint-Jean-sur-Richelieu, Quebec, and the Path autonomy stack at Provectus Robotics Solutions in Ottawa. There is no axis — hardware, autonomy, certification, capital, or Canadian-sovereignty optics — on which a newly-listed, capital-constrained entity out-competes Rheinmetall directly. Against Rheinmetall the only rational postures are avoid, niche around, or partner.

5. Positioning Hallor Defence as a New Canadian Entrant

5.1 The entry thesis

Hallor Defence does not enter as a better robot or a cheaper Rheinmetall. It enters as the **listed, Canadian-built, compliance-anchored developer of an unarmed logistics and casualty-evacuation UGV**, funded through public markets to execute an autonomy-conversion roadmap that financing-constrained private entrants cannot match for speed or certification depth.

5.2 Scope discipline — what Hallor Defence will and will not build

The defensible niche is the unarmed transport/medevac mission — the equivalent of the competitors’ “universal transport platform,” not their fire-support or mine-laying modules. This scope discipline is not timidity; it is strategy and compliance working together.

- **Will build:** a quiet, low-CoG, Canadian-built electric teleoperated/semi-autonomous resupply and casualty-evacuation UGV; modular cargo and litter decks; a defined path to higher autonomy via partnership.
- **Will not build:** remote weapon stations, kamikaze/one-way attack configurations, or mine-delivery systems. These exceed the platform’s suitability and trigger Ottawa Treaty and controlled-goods exposure that would jeopardize the listing.

5.3 The four pillars of the new-entrant position

Pillar 1 — Canadian sovereign capability

Canada has signalled intent to build domestic uncrewed and autonomous-systems capability and to diversify defence procurement toward European and NATO partners.⁹ A listed, audited, Canadian-built, controlled-goods-registered entity is procurable in ways a 200-company foreign field is not. Hallor Defence's claim is sovereign content plus public-company transparency — not technical superiority.

Pillar 2 — The capital structure as the weapon

This is the core of the thesis. Hallor cannot win a technology bake-off. A listed HTI/Hallor Defence structure *can* raise conversion and certification capital, partner-license an autonomy stack, and consolidate sub-scale Canadian UGV and component shops faster than private competitors. The competitive thesis is a financing-structure thesis — precisely where the advisory skill set adds the edge.¹⁰

Pillar 3 — Partner, do not fight, on autonomy

The most realistic technical route to making the platform uncrewed at all is a platform-agnostic autonomy kit. The market leader's autonomy product is explicitly designed to be integrated onto third-party vehicles. Hallor Defence should pursue an autonomy-integration partnership as a deliberate decision, converting the strongest full-stack competitor into a potential supplier rather than only an adversary.

Pillar 4 — Unarmed, compliant, and narrow

A tightly-scoped unarmed mission set is faster to certify, cleaner under the Controlled Goods Program, and consistent with the “platform builder, not weapons integrator” posture set out in Section 2. Narrowness is a feature: it shortens the path to a credible, fundable first product.

5.4 Principal risks

- Platform-maturity gap: the conversion program is real engineering and real time; the listing narrative must not imply a finished combat product.
- Incumbent occupation: INKAS, an established Canadian defence firm, already occupies the “Canadian-built, NATO-aligned UGV” position; Hallor's

⁹Canadian sovereign-capability and defence-diversification context per public reporting (The Globe and Mail, 2025–2026) on Ottawa's stated intent to build domestic uncrewed and autonomous systems capability and to diversify defence procurement toward European and NATO partners. Specific program names, budgets, and procurement vehicles should be verified with current government sources before reliance.

¹⁰Securities-law parameters from the prior financing model: private placement under National Instrument 45-106 prospectus exemptions (Accredited Investor s.2.3, Family/Friends/Business Associates s.2.5, Minimum Amount s.2.10); NI 45-102 resale restrictions; non-offering prospectus listing on the CSE with NP 46-201 escrow. All figures indicative and subject to counsel and exchange review.

differentiation must be the *listed-consolidator* angle (capital-markets access and roll-up), not a claim to that position itself.

- Controlled-goods sequencing: defence disclosure adds weight on top of the IFRS audit and December 2025 deck reconciliation — it cannot skip them.
- Capital dependency: the entire thesis assumes the listing and financing succeed; absent that, Hallor Defence is not viable as described.

6. Hallor Industries Inc. and Its Current Market

Hallor Industries Inc. is not a future concept — it is the part of the group with an actual product, actual customers, and the only near-term revenue. Its market must be discussed on its own terms, because it underwrites the credibility of everything else.

6.1 The market it is already pursuing

The Green Ox is positioned in the **electric ground support equipment (GSE) market for aviation**, with adjacent industrial and fleet applications. The buyer is an airport operator, ground-handling company, fixed-base operator, or industrial fleet seeking to electrify ramp tractors. The product's own value proposition is built around this market: zero-emission operation, carbon-credit and government energy-rebate eligibility, low maintenance, standard 120V charging with no proprietary infrastructure, two-shift endurance, and a modular attachment line (belt loader, water cart, lavatory cart, de-icer, cabbed/heated cold-weather variants).

6.2 Why this market matters to the structure

- It is the revenue and going-concern anchor: it is the credible commercial story an auditor and an exchange can see and test.
- It is demand-aligned with policy: airport decarbonization mandates and energy-rebate/carbon-offset programs are tailwinds the product is explicitly designed to capture.
- It de-risks the defence thesis: a shipping commercial drivetrain is the engineering foundation the unarmed-UGV conversion builds on — the two subsidiaries share a platform, not a fantasy.

6.3 Recommended commercial posture

- Deepen the existing aviation-GSE push: reference deployments, fleet/leasing offers, and the attachment roadmap that increases per-customer value.

Deploy a Green Ox demonstration and try-and-buy fleet. Build and deliver five Green Ox (eGSV) units as a try-and-buy demonstration fleet placed with prospective customers across Canada and selected international markets. The objective is sales conversion: a try-before-you-buy placement removes the principal adoption barrier for electric GSE

(operational confidence on the ramp) and is a recognized procurement pathway for ground-handling fleets. The fleet build is financed by an intercompany manufacturing loan from HTI to Hallor Industries Inc., drawn from the equity raise; the loan is repaid from the eGSV sales the try-and-buy fleet converts, making the advance self-liquidating against commercial receivables rather than a sunk cost. The intercompany loan is a related-party arrangement to be documented on arm's-length-defensible terms and is subject to counsel and exchange review. The program is exclusively a Hallor Industries Inc. / Green Ox initiative — it involves no Hallor Defence platform and no controlled-goods content; all intellectual property it generates vests in HTI under the licensing agreement.

- Use carbon-credit and energy-rebate eligibility as an explicit sales and financing instrument, not a footnote.
- Keep commercial and defence go-to-market strictly separated — shared platform, separate customers, separate compliance regimes.

7. The Financing: Indicative Ask, Use of Proceeds and Dilution

The financing parameters in this section are indicative and pre-audit. They are subject to counsel, exchange review, final audited financials, and market conditions, and do not constitute an offer.

7.1 Indicative ask

- **Instrument:** a private placement of units under the established National Instrument 45-106 prospectus exemptions, concurrent with a non-offering-prospectus listing of HTI on the CSE. Each unit comprises one common share and one-half of one common share purchase warrant; each whole warrant entitles the holder to acquire one additional common share at C\$0.25. The warrant term is to be set in the definitive offering documents.
- **Target size:** approximately C\$2.0M–C\$2.5M (indicative; floor approximately C\$2.0M). The named allocations in Section 7.2 total approximately C\$1.35M–C\$1.40M across the range; the upper end is recommended so that the residual SG&A budget and the free cash required to satisfy the CSE minimum-listing requirements are comfortably covered.
- **Indicative price:** C\$0.15 per unit; pre-money to be quoted on a fully-converted basis (approximately C\$5.6M on that basis, not the lower headline figure).
- **Agent compensation:** a 10% cash commission on gross proceeds plus broker warrants equal to 10% of the units sold, each broker warrant exercisable for one common share at C\$0.25. The financing cost is therefore 10% in cash and 10% in warrants.
- **Resale:** NI 45-102 hold periods apply; listing escrow under NP 46-201.

7.2 Indicative use of proceeds

This raise funds a recapitalization and a defined set of parent-level allocations — it is not general expansion capital. HTI, as the listed parent, applies the gross proceeds of the indicative C\$2.0M–C\$2.5M placement in the following priority:

- **Trade payables — C\$500,000.** Partial cash settlement of trade payables. Any payables balance in excess of C\$500,000 is settled by shares-for-debt rather than cash; the resulting dilution is addressed in Section 7.3.
- **Private-placement financing costs — 10% cash on gross proceeds (approximately C\$200,000–C\$250,000), plus broker warrants equal to 10% of units sold.** The cash commission is a use of proceeds; the broker warrants are non-cash and are carried into the dilution waterfall in Section 7.3.
- **Listing costs (NOP) — C\$100,000.** Non-offering-prospectus, audit, legal and filing costs to complete the CSE listing.
- **Intercompany manufacturing loan to Hallor Industries Inc. — C\$250,000.** Funds production of five commercial Green Ox (eGSV) units and the associated marketing costs for the try-and-buy fleet (Section 6). Structured as a loan from HTI to HII on arm's-length-defensible terms, repaid from the eGSV sales the fleet converts — self-liquidating against commercial receivables. No defence content; no controlled goods.
- **HTI-funded R&D at Hallor Defence — C\$300,000.** Funds a single UGV proof-of-concept prototype (Section 8.4). This is HTI-funded research and development, not a loan and not a product build: prototyping only, no shipment, no sales or revenue assumption, undertaken within the Controlled Goods Program and export-control scope of Section 8.2 as a condition of the allocation.
- **SG&A and minimum-listing free cash — residual balance.** The remaining proceeds (approximately C\$650,000 at a C\$2.0M raise, rising to approximately C\$1,100,000 at C\$2.5M) fund selling, general and administrative expenses and the free cash required to satisfy the CSE minimum-listing and working-capital requirements.

The named allocations (payables, financing costs, listing, the HII loan and the HDI R&D) total approximately C\$1.35M at the C\$2.0M floor and approximately C\$1.40M at C\$2.5M, leaving a positive SG&A-and-free-cash residual at both ends of the range. The HII intercompany loan, the shares-for-debt settlement of any payables above C\$500,000, and the parent-to-subsidary IP licensing are related-party arrangements to be documented on arm's-length-defensible terms and are subject to counsel and exchange review. All intellectual property generated by HII or HDI vests in HTI under the licensing agreement.

Figure 2 — Indicative Use of Proceeds

HTI applies gross proceeds at the parent level, in priority (indicative C\$2.0M–C\$2.5M)

(i) Trade payables — C\$500,000 Partial cash settlement; any balance above C\$500,000 settled shares-for-debt (\$7.3)	Indicative C\$2.0M – C\$2.5M
(ii) PP financing costs — 10% cash (C\$200,000–C\$250,000) + 10% broker warrants Cash commission is a use of proceeds; broker warrants are non-cash (carried to \$7.3)	
(iii) Listing costs (NOP) — C\$100,000 Non-offering-prospectus, audit, legal and filing costs to complete the CSE listing	
(iv) Intercompany loan → Hallor Industries Inc. — C\$250,000 Production of 5 commercial Green Ox (eGSV) units + marketing for the try-and-buy fleet Self-liquidating: repaid from eGSV sales — no defence content, no controlled goods	
(v) HTI-funded R&D → Hallor Defence Inc. — C\$300,000 Single UGV proof-of-concept prototype — R&D only, not a loan, no shipment/revenue Within Controlled Goods / export-control scope (\$8.2) as a condition of the funding	
(vi) SG&A + minimum-listing free cash — residual ~C\$650,000 at a C\$2.0M raise, rising to ~C\$1,100,000 at C\$2.5M Unallocated working capital to satisfy CSE minimum-listing requirements	

Named items total ~C\$1.35M (at C\$2.0M) to ~C\$1.40M (at C\$2.5M); positive residual at both ends.

HII loan, shares-for-debt settlement and parent–subsidiary IP licensing are related-party arrangements, on arm's-length-defensible terms, subject to counsel and exchange review. All IP vests in HTI.

Source: \$7.1–7.2, this proposal. Figures indicative and pre-audit; subject to counsel, exchange and market conditions.

7.3 Share capital — the dilution waterfall

The table below rolls the share capital forward from the existing issued position through each event that changes the count, to a pro-forma fully-diluted total. It is built on the existing Hallor capitalization records, not a simplified model. It is shown at the C\$0.15 unit price and the C\$2.0M floor; at the C\$2.5M upper end the new-money layers scale up and the illustrative fully-diluted total rises to approximately 62.4M. All figures are pre-IFRS-audit and indicative.

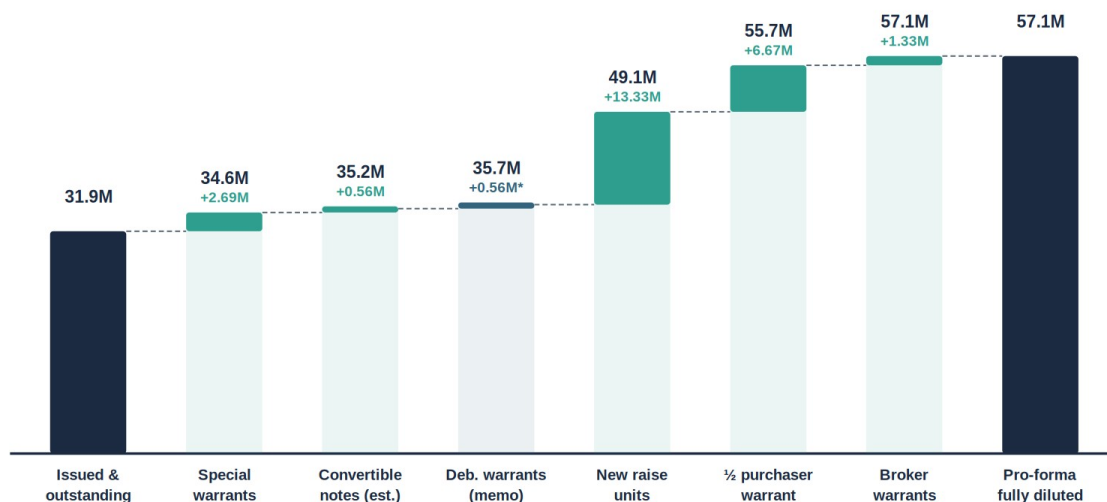
Stage / event	Shares	Running total	Basis
Existing issued & outstanding	31,912,501	31,912,501	Founders 12,000,001 + Seed 2,000,000 + Investors 17,912,500 (per records)
— of which shares-for-debt already executed	(12,580,800)	—	Memo: SFD already inside the issued count; deemed C\$0.10; not added again
+ Special warrants converted (1:1, no cash)	2,687,500	34,600,001	2022 SW @ C\$0.10 (2,587,500) + 2023 SW @ C\$0.50 (100,000)
+ Convertible notes, estimated on conversion	562,500	35,162,501	Per records; final share count subject to note status

Stage / event	Shares	Running total	Basis
			clarification and audit
+ Debenture warrants — not yet granted (memo)	562,500	35,725,001	Disclosed but contingent: instrument not yet granted; shown for completeness
+ New raise — units (1 share each) at C\$0.15	13,333,333	49,058,334	C\$2.0M ÷ C\$0.15; rises to 16,666,667 at C\$2.5M
+ New raise — ½ purchaser warrant per unit	6,666,666	55,725,000	Half-warrant per unit; exercisable at C\$0.25, term to be set
+ Broker warrants (10% of units sold)	1,333,333	57,058,333	Agent compensation; exercisable at C\$0.25
Pro-forma fully diluted (illustrative, C\$0.15 / C\$2.0M)	—	~57.1M	~62.4M at C\$2.5M; includes not-yet-granted/contingent instruments

Two reconciliation points a reviewer will check, stated plainly: (1) the 12,580,800 shares-for-debt already settled are *inside* the 31,912,501 issued count and are shown only as a memo line — they are not added again. (2) A simplified count of approximately 48.9M would exclude the convertible-note conversion, the not-yet-granted debenture warrants, and the financing's purchaser and broker warrants; carrying all of them lifts the illustrative fully-diluted count to roughly 57.1M at the C\$0.15 / C\$2.0M case and approximately 62.4M at C\$2.5M. The not-yet-granted debenture warrants are shown because they are disclosed in the records, but they remain contingent and must be confirmed on audit.

Figure 5 — Share-Capital Dilution Waterfall

Illustrative at C\$0.15 per unit and the C\$2.0M floor · reconciled to existing capitalization records
 Share counts in millions; running total shown above each step



Memo: 12.58M shares-for-debt is already inside the 31.91M issued count — shown in the records, not added again.

* Debenture warrants are disclosed but NOT YET GRANTED — contingent; to be confirmed on audit.

Pro-forma fully diluted ≈ 57.1M at C\$0.15 / C\$2.0M — ≈ 62.4M at C\$2.5M. Warrants exercisable at C\$0.25.

Source: \$7.3, this proposal; reconciled to existing Hallor capitalization records. Pre-IFRS-audit, indicative.

7.4 Dilution and capitalization — explicit caution

This proposal recommends settling existing debt for equity and then listing. That repair is **dilutive**, and the magnitude is not yet fixed because the conversion price/ratio, the final note principal-plus-interest balance, and the accounts-payable settlement are undetermined pending the audit and executed settlement agreements. The waterfall in Section 7.3 is built on the existing records and is indicative; a simplified fully-diluted count of approximately 48.9M **understates** the true position because it omits the convertible-note conversion, the not-yet-granted debenture warrants, any reserved option pool and board/advisor grants, and the financing's purchaser and broker warrants. A fully-loaded pro-forma capitalization table, built on audited figures and executed settlement terms, is a prerequisite to any subscription material and is listed among the listing prerequisites in Section 9. Investors should rely on the audited capitalization, not a simplified count.

7.5 Establishing IP value — an independent valuation

As noted in Section 2.1, the platform is carried at an IFRS accounting floor (approximately C\$4.27M), not a market value. Because the listed entity's thesis is that it owns and licenses the IP, the value of that IP is a material input to the financing and to any pre-money position. The proposal does not assert a fair value above the carried amount; instead it recommends commissioning an **independent IP/technology valuation** by a qualified valuator, scoped to the platform and its commercial (Green Ox GSE) and prospective defence applications, on a basis acceptable to the auditor and the exchange. That valuation — not the carrying value and not an internal estimate — is the appropriate

support for any fair-value or pre-money position presented to investors, and it is sequenced as a value-establishing step alongside the audit in Section 9. Until it is complete, the carried amount should be read as a floor and no higher figure should be represented.

8. Defence Market, Compliance and Execution

8.1 Market sizing — stated as unverified

This document does not assert a quantified defence total addressable market, and no defence revenue is forecast. The demand thesis rests on a qualitative, publicly-reported signal: Canada has stated an intent to build domestic uncrewed and autonomous-systems capability and to diversify defence procurement toward European and NATO partners. Converting that signal into an addressable figure requires primary work the file has not yet done: identifying the specific Canadian programs, their budgets, and the procurement vehicles, and verifying that an unarmed logistics/medevac UGV is in scope. Any market figure presented to investors should come from that verification, not from this document. The roadmap (Section 9.3) makes that verification an explicit task rather than an assumed input.

8.2 Controlled goods, export control and treaty scaffold

Defence-oriented UGV activity engages a compliance stack that must be treated as a prerequisite, with real lead times, and is a matter for qualified counsel — the following names the regimes; it is not legal advice:

- **Controlled Goods Program (CGP):** registration is generally required before the possession or examination of controlled goods and controlled technical data; registration lead time must be built into the schedule.
- **Export controls:** the Export Control List and the Defence Production Act regime govern transfers and exports; permits carry application lead times and end-use scrutiny.
- **US-origin content (ITAR/EAR):** autonomy and communications subsystems may incorporate US-origin technical data; ITAR/EAR exposure and the Canada–US defence trade context must be assessed before any subsystem selection is locked.
- **Ottawa Treaty:** the Anti-Personnel Mine Ban Convention is a principal reason the recommended scope excludes mine-delivery and munitions entirely (Section 5.2).

8.3 Execution capability — a genuine gap

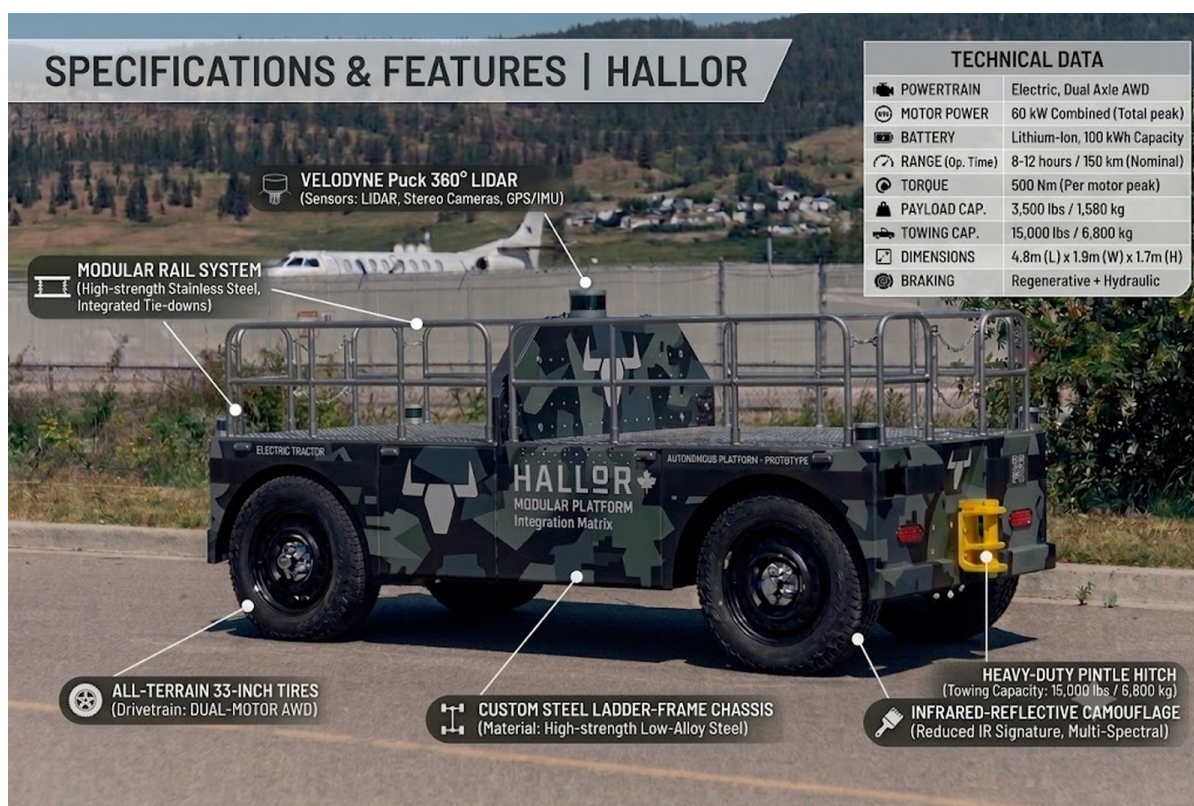
Defence contracting and UGV autonomy integration require competencies the current group has not yet demonstrated: CGP registration and security governance, systems

engineering for drive-by-wire and remote command-and-control, and defence business development and procurement experience. This is a genuine gap. The proposal does not assume it away: the recommended posture is to fund the autonomy work through partnership (Section 5.3, Pillar 3) and to treat a defence-capable management and advisory bench as a hiring/partnering milestone that must be in place before the program proceeds, not as an existing strength.

8.4 Hallor Defence R&D — a single proof-of-concept prototype

The defence thesis depends on an engineering program to make a crewed platform uncrewed (drive-by-wire, communications, remote command-and-control, ruggedization). HTI funds research and development at Hallor Defence, from the equity raise, to build **a single UGV proof-of-concept prototype**. This is **R&D prototyping only** — the prototype is not a product, is not built for shipment or delivery, and carries no sales, order, or revenue assumption. Its purpose is to demonstrate technical feasibility of the unarmed logistics/medevac conversion and to retire engineering risk.

Figure 6 — Draft Concept of the Proposed Prototype



Indicative draft concept only — not a finished product, not a manufactured unit, and not a representation of delivered capability. Specifications shown are design targets for the proof-of-concept program and are subject to engineering validation, the Controlled Goods / export-control scope of Section 8.2, and independent military-specification testing.

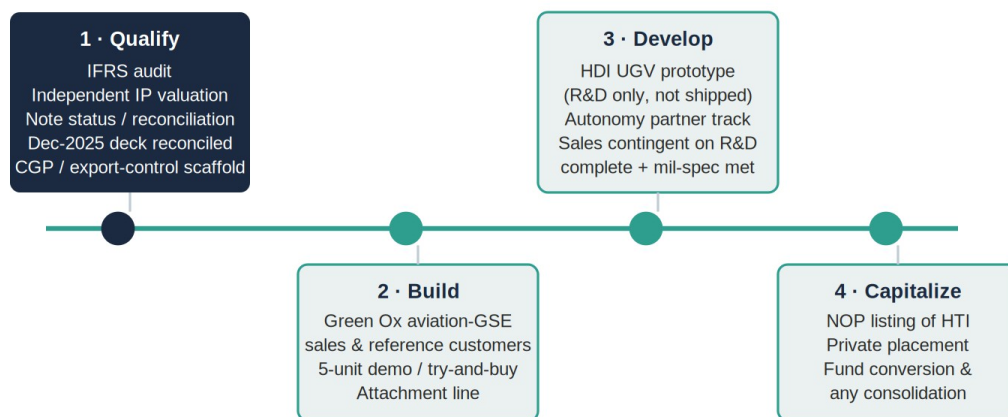
Any commercial discussion is contingent on technical completion. A sales conversation can begin only *after* the R&D is complete *and* the prototype is independently shown to meet the applicable military-specification requirements; until both conditions are met, the program remains R&D and nothing in this document should be read as a defence sales or revenue projection. The prototype work is undertaken within the Controlled Goods Program and export-control scope set out in Section 8.2, and that compliance scope is a condition of the R&D funding. All intellectual property generated by the prototype program vests in HTI under the licensing agreement. Investors should read the defence activity as funded, disciplined, milestone-based R&D — not as a committed product program.

9. Sequencing and Roadmap

The defence positioning changes nothing about the order of operations. The listing prerequisites come first; the defence narrative is sequenced behind them, not parallel.

Figure 4 — Sequencing & Roadmap

Listing prerequisites clear first; the defence narrative is sequenced behind them, not parallel



Source: §9, this proposal. Build / Develop run in parallel only after Qualify clears; HDI activity is HTI-funded R&D prototyping only.

9.1 Qualify (listing prerequisites that must clear before the defence story is told publicly)

1. IFRS audit scoped to the reorganization.
2. Independent IP/technology valuation on a basis acceptable to the auditor and exchange (Section 7.5).
3. Convertible-note status clarification (possible Penalty Event) and funding-discrepancy reconciliation.
4. Reconciliation or withdrawal of the conflicting December 2025 investor deck.

5. Fully-loaded pro-forma capitalization table on audited figures and executed settlement terms.
6. Controlled-goods, export-control and ITAR/EAR assessment framework established with counsel.

9.2 Build (commercial)

1. Continue Green Ox aviation-GSE sales and reference-customer development — the revenue and credibility anchor.
2. Advance the modular attachment line and leasing/bulk offers.

9.3 Develop (defence)

1. Fund and complete the HDI UGV proof-of-concept prototype (R&D only; no shipment); demonstrate technical feasibility and meet applicable military-specification requirements before any sales discussion.
2. Open an autonomy-integration partnership track with a platform-agnostic provider.
3. Verify the Canadian sovereign-capability and procurement pathways and produce a sourced market estimate.
4. Identify the defence-capable management/advisory bench required before program commitment.

9.4 Capitalize

1. Complete the non-offering-prospectus listing of HTI and the associated private placement under the established exemption framework.
2. Use the listed vehicle to fund conversion, certification, and any consolidation of sub-scale Canadian UGV/component capability.

10. Conclusion

The opportunity is real but is stated conservatively by design. Hallor owns a credible Canadian-built commercial electric vehicle with a real market today and a militarily-relevant drivetrain that can, with funded R&D prototyping, be evaluated as the basis for an unarmed logistics UGV. It does not own a combat platform, it does not have a UGV product today, and this proposal does not represent otherwise.

The winning move is structural, not technical: list the IP-owning parent, keep the Green Ox commercial business generating revenue and credibility in its existing aviation-GSE market, and position Hallor Defence as the listed, compliant, narrowly-scoped Canadian entrant that uses capital-markets access — not hardware superiority — to fund and evaluate an entry into the unarmed UGV logistics segment as the lowest-capability,

lowest-cost participant. That is a thesis the advisory mandate is built to execute, and it is one constructed to survive an audit, an exchange review, and technical diligence — provided the listing prerequisites in Section 9 are cleared first.

Glossary

The following terms are used in this document. Definitions are provided for working clarity and are not legal definitions.

A-UGV. Autonomous Uncrewed Ground Vehicle — a UGV capable of autonomous navigation, as distinct from purely teleoperated control.

CGP (Controlled Goods Program). The Canadian program governing the examination, possession, and transfer of controlled goods and technology, including many defence-related items.

CSE. Canadian Securities Exchange — the exchange contemplated for the non-offering-prospectus listing of HTI.

Drive-by-wire. Electronic control of steering, throttle, and braking, replacing mechanical linkages — a prerequisite for converting a crewed vehicle to uncrewed operation.

ELROB. European Land-Robot Trial — a recognized European UGV/autonomy competition; cited for the Path A-kit's 2024 Automated Convoy result.

ERLS. The radio-control link band/scheme cited in the VictorySoft Gulliver and INKAS HEEMAR specifications (400–500 / 750–950 MHz), used with satellite and fiber-optic fallback.

GSE (Ground Support Equipment). Vehicles and equipment used to service aircraft on the ramp — the Green Ox's primary commercial market.

Going-concern note. An auditor or management disclosure indicating substantial doubt about an entity's ability to continue operating — present in the HGI financials.

HDI. Hallor Defence Inc. — the wholly owned subsidiary positioned as a new entrant to the Canadian UGV market; platform builder, not weapons integrator.

HGI. Hallor Group Inc. — the existing entity, to be renamed Hallor Technologies Inc. on reorganization.

HII. Hallor Industries Inc. — the wholly owned subsidiary that operates and sells the Green Ox electric-GSE business under licence from HTI.

HTI. Hallor Technologies Inc. — the proposed listed parent and IP/platform licensor.

IFRS. International Financial Reporting Standards — the audit standard applicable to the listing; the audit is a listing prerequisite.

LiFePO₄. Lithium iron phosphate battery chemistry — an optional Green Ox battery offering longer life and stable thermal behaviour.

NI 45-106 / NI 45-102. Canadian National Instruments governing prospectus exemptions for private placements and resale restrictions, respectively.

Non-offering prospectus (NOP). A prospectus filed to become a reporting issuer and list without concurrently raising money under that prospectus.

NP 46-201. Canadian National Policy on escrow for initial public distributions, relevant to listing escrow requirements.

Ottawa Treaty. The Anti-Personnel Mine Ban Convention — directly relevant to mine-delivery capability and a basis for excluding it from Hallor Defence scope.

Path A-kit. Rheinmetall's platform-agnostic autonomous-driving kit; relevant as both a competitive moat and a potential integration partner.

Penalty Event. A defined adverse trigger under the matured convertible notes requiring status clarification as part of the listing-prerequisite work.

Reviewable transfer. A transfer of assets out of a financially constrained entity that may be challengeable; avoided here by repairing the balance sheet in place.

Teleoperation. Remote human operation of a vehicle over a communications link, without onboard crew — the realistic first step for Hallor Defence.

UGV. Uncrewed Ground Vehicle — a ground vehicle operated without an onboard human, by teleoperation or autonomy.